CHAPTER 5

BANK RECONCILIATION STATEMENT

CHAPTER ESSENCE AT A GLANCE:
Reconcile discrepancies between the cash book bank balance and the passbook bank balance resulting from timing lags, direct bank transactions, and recording errors.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Timing Difference Causation:** Cheques issued by the enterprise but not yet presented for payment, and cheques deposited but not yet cleared by the bank, create temporary balance divergences.

• **Bank-Initiated Transactions:** Direct customer credits, bank interest credited, dividend collections, bank charges debited, and direct standing order debits appear in passbook before cash book entry.

• **Two-Sided Reconciliation Logic:** Starting from favorable cash book balance (debit), add transactions that increase passbook relative to cash book, and subtract transactions that decrease passbook.

• **Overdraft Inversion Principle:** An overdraft represents a bank debt (credit balance in cash book, debit in passbook) where favorable balance addition and deduction logic operates inversely.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{BRS Identity} = \text{Cash Book Balance} + \text{Unpresented Cheques} - \text{Uncleared Cheques} \pm \text{Direct Entries}$$
Fundamental Reconciliation Equilibrium

$$\text{Adjusted Cash Balance} = \text{Cash Book} + \text{Direct Bank Credits} - \text{Direct Bank Debits} - \text{Book Errors}$$
Amended Cash Book Net Reconciliation

$$\text{Favourable Balances} \iff \text{Debit in Cash Book} \equiv \text{Credit in Bank Passbook}$$
Standard Favourable Bank Balance Duality

$$\text{Overdraft Balances} \iff \text{Credit in Cash Book} \equiv \text{Debit in Bank Passbook}$$
Bank Overdraft Adverse Balance Duality

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Never reconcile errors committed by the bank inside the cash book; only genuine firm transactions omitted from the cash book are entered in the amended cash book.

• **Alert:** A debit balance in the Bank Passbook represents an adverse overdraft, whereas a debit balance in the Cash Book represents an asset (favourable cash in bank).

• **Alert:** Cheques received and entered into the cash book but forgotten to be deposited into the bank are deducted when starting from favorable cash book balance.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What is a Bank Reconciliation Statement (BRS)? Why is it prepared periodically? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A statement prepared by an account holder on a particular date to reconcile the difference between the bank balance shown in the cash book and the balance shown in the passbook. **[1 Mark]**

• **Purpose:** It identifies uncredited or unpresented cheques, detects accounting errors, and prevents fraudulent bank misappropriation. **[1 Mark]**

2. State the meaning of Favourable Balance and Overdraft Balance in both Cash Book and Passbook. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Favourable Balance:** A debit balance in the Cash Book indicates cash asset at bank; a credit balance in the Passbook represents bank liability to the customer. **[1 Mark]**

• **Overdraft Balance:** A credit balance in the Cash Book indicates an overdraft owed to the bank; a debit balance in the Passbook represents customer debt owed to the bank. **[1 Mark]**

3. Enumerate any three principal causes of differences between Cash Book balance and Passbook balance due to timing lags. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Cheques Issued but Not Presented:** Cheques given to creditors immediately reduce the cash book balance, but passbook balance decreases only when presented at bank. **[1 Mark]**

• **Cheques Paid into Bank but Not Cleared:** Cheques deposited are immediately debited in cash book, while bank credits passbook only upon realization from drawer bank. **[1 Mark]**

• **Direct Customer Remittances:** Customers deposit money directly into firm bank account via NEFT or RTGS, appearing first in passbook before firm awareness. **[1 Mark]**

4. Explain the advantages of preparing an Amended (Adjusted) Cash Book prior to drafting the Bank Reconciliation Statement. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Ascertaining True Cash Balance:** Enters unrecorded bank charges, interest, and direct collections into ledger before financial year-end closing. **[1 Mark]**

• **Correcting Cash Book Errors:** Rectifies errors made by the firm cashier directly in ledger accounts rather than leaving them in reconciliation. **[1 Mark]**

• **Simplifying BRS:** The final BRS contains only genuine timing differences (unpresented and uncleared cheques) and errors committed by bank staff. **[1 Mark]**

5. State whether each of the following items should be Added or Deducted when preparing a BRS starting from a Favourable Cash Book balance: (a) Cheques issued Rs 5,000 not presented, (b) Bank charges debited in passbook Rs 150, (c) Dividend collected directly by bank Rs 800. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Cheques Issued Not Presented:** Add Rs 5,000 (Passbook balance is higher because payment has not yet left the bank account). **[1 Mark]**

• **(b) Bank Charges Debited:** Deduct Rs 150 (Passbook balance is lower because bank has reduced account without cash book entry). **[1 Mark]**

• **(c) Dividend Collected Directly:** Add Rs 800 (Passbook balance has increased due to direct credit from paying company). **[1 Mark]**

6. Pass journal entries in the books of a firm for items revealed during bank reconciliation: (a) Bank charges debited Rs 200, (b) Interest allowed by bank Rs 450, (c) Customer direct transfer into bank Rs 3,000. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Bank Charges:** Debit Bank Charges $\frac{A}{c}$ Rs 200 and Credit Bank $\frac{A}{c}$ Rs 200 (fee expense debited). **[1 Mark]**

• **(b) Bank Interest:** Debit Bank $\frac{A}{c}$ Rs 450 and Credit Interest Received $\frac{A}{c}$ Rs 450 (interest income earned). **[1 Mark]**

• **(c) Direct Customer Deposit:** Debit Bank $\frac{A}{c}$ Rs 3,000 and Credit Customer $\frac{A}{c}$ Rs 3,000 (debtor settlement realized). **[1 Mark]**

7. On 31st March 2024, the Cash Book of Neha showed a bank balance of Rs 15,000. Prepare a Bank Reconciliation Statement from the following particulars: (1) Cheques issued amounting to Rs 6,000 were presented on 4th April, (2) Cheques deposited Rs 4,500 were cleared on 6th April, (3) Bank charges debited in passbook Rs 250, (4) Direct deposit by debtor Raman Rs 2,000 not recorded in cash book. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Base Balance:** Balance as per Cash Book (Dr) = Rs 15,000. **[0.5 Mark]**

• **Additions:** (1) Cheques issued but not presented = Rs 6,000; (4) Direct deposit by debtor Raman = Rs 2,000. Total additions = Rs 8,000. Subtotal = Rs 23,000. **[1.5 Marks]**

• **Deductions:** (2) Cheques deposited but not cleared = Rs 4,500; (3) Bank charges debited = Rs 250. Total deductions = Rs 4,750. **[1.5 Marks]**

• **Final Result:** Balance as per Passbook (Credit favourable) = Rs 23,000 minus Rs 4,750 = Rs 18,250. **[0.5 Mark]**